BUSINESS & POLICY OUTLOOK

Exporting British derivatives expertise

The product-linked opportunity, 2026-2030

Scaling trusted pricing, execution, clearing and risk-management services for international customers.

6 November 2026 | UK business strategy report

The central proposition

Britain can grow international earnings by helping overseas firms manage the prices of energy, metals, agricultural inputs and other commercial exposures. The scalable export is a trusted service around a derivative contract - not the face value of the underlying product.

2030 programme scenario	Constrained	Delivery	Scale
Annual gross service exports	£150m	£600m	£1.50bn
Illustrative operating result	-£32.5m	£120m	£375m
Operating margin	-21.7%	20.0%	25.0%

These are bottom-up, conditional scenarios for additional internationally sold services. They are neither measured current exports nor forecasts for the entire UK derivatives sector. They do not count derivative notionals, collateral or investment returns as export revenue.

An independent report written in a business-confederation policy style. Not produced, endorsed or commissioned by the CBI. No CBI branding or proprietary research is used.

Executive summary

The UK should pursue scale through deeper commercial usefulness, rather than through an issuance target. Product-price-linked derivatives can make costs and revenues more predictable for overseas customers; UK-resident firms can earn execution, arrangement, clearing, data and operational-service income from supplying that capability.

Five conclusions for business and government

Protect established strengths. Liquidity, market infrastructure, skills and credible benchmarks are a platform for export growth. A London trading desk or British parent company alone does not establish that a service is a UK export.

Start with liquid exposures. Commodity hedging and adjacent FX services offer a more credible route than creating bespoke derivatives for every finished product. Thin benchmarks and weak price correlation undermine scalability.

Standardise delivery, not customer risk. Reusable documentation, onboarding, interfaces and reporting reduce servicing cost; hedge sizes, collateral terms and maturity must still fit the exposure.

Measure earnings, not notional. Export targets should track services supplied by UK residents to non-residents, adjusted to avoid duplicated fees, pass-through charges and reclassification of financial flows.

Finance the build-out. The £600m delivery case reaches a 20% operating margin in 2030, but a specified ramp produces £145m of cumulative operating losses over 2026-2030. Early profitability cannot be assumed.

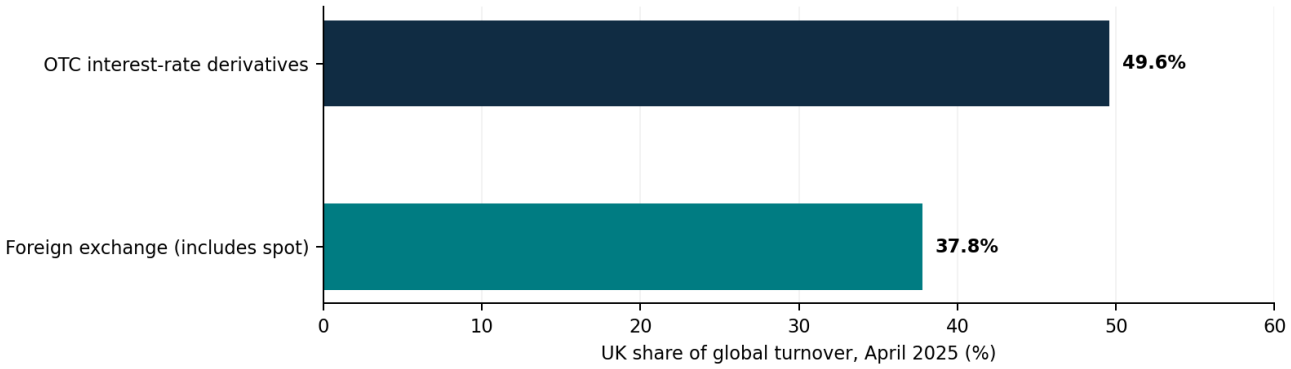
Recommended commercial direction

Build an industry-led export programme around regulated providers, established venues and independent benchmark administrators. Prioritise foreign manufacturers, utilities, food businesses and commodity merchants with identifiable exposures and funded collateral plans. Market selection should follow verified permission and demand, not political enthusiasm alone.

By 2030, success means retained non-resident clients, recurring service earnings, dependable hedges and resilient operations. Additional UK goods exports and capital investment may follow, but this report does not attach an unsupported multiplier to them.

1 / The UK starting position

The latest triennial location survey provides evidence of a strong financial-market platform. It measures market activity, not the export receipts of British-owned businesses. [1]



Observed statistic	Scope and interpretation
UK FX turnover: $4,745bn daily	April 2025 average. Includes spot FX as well as derivative instruments; cannot be called derivatives-only exports.
UK OTC rate-derivative turnover: $4,320bn daily	April 2025 average. Separate market from product-linked commodity contracts; demonstrates capacity, not the commodity opportunity itself.
Global OTC notional: $846tn; market value: $21.8tn	End-June 2025 stock measures. Neither is annual revenue or an export measure. [2]
UK services exports: £522.8bn in 2025	ONS Pink Book 2026 vintage, all services. Context only; not a derivatives export total. [3]

The Bank survey uses sales-desk location and includes specified related-party business; it is not organised by ultimate ownership or by the residency of the fee-paying customer. National and global turnover figures also use different double-counting adjustments. Do not multiply daily turnover by an assumed spread to manufacture a national export estimate. [1]

What the evidence does not establish

This research does not identify an official national series isolating all derivatives-related service exports. It also does not establish unmet overseas demand for the specific programme proposed here. A firm-level revenue survey and a qualified customer pipeline are therefore required before treating any scenario as a commercial target.

A stock of outstanding contracts, a flow of new transactions, a fee and a financial settlement are different quantities. National strategy should keep all four visible.

2 / What is actually exported?

Transaction or activity	Treatment in this report
UK-resident broker serves a foreign manufacturer	A UK service export where the non-resident pays an attributable execution or arrangement charge.
Foreign client uses UK-resident clearing or risk services	Potential service exports, subject to the actual contracting entities, fee payer and statistical classification.
£100m derivative notional	Reference amount used in a contract. Not £100m of exports.
Option premium or settlement gain	A derivative transaction or return; the entire amount is not automatically service revenue. Separate identifiable service charges.
Initial margin or collateral transfer	Funding/security for obligations. Not a sale of services; accounting depends on the arrangement.
Foreign subsidiary of a British group serves local clients	Not automatically a UK balance-of-payments export. UK services to that subsidiary and foreign investment income are separate flows.
UK branch of foreign-owned group serves non-residents	Can generate UK exports if the supplying institutional unit is UK resident; ownership is not the residency test.

International accounts distinguish explicit financial-service charges and measurable dealing margins from the financial transaction itself. Derivative transactions sit in the financial account; fees associated with arranging them may be services. This distinction drives the scenario boundary. [4,5]

A practical measurement protocol

Record the residence of supplier and customer; identify the service delivered; separate explicit fees and defensible service margins; remove financial principal and settlement flows. Reconcile to external accounts and eliminate duplicate counting within the programme. If two UK suppliers each serve the same foreign customer, count distinct services once each, not the same bundled fee twice.

Use the phrase British derivatives-services exports for the earnings opportunity. A contract can reference a non-British commodity and still support a UK service export; a British commodity reference alone does not create one.

3 / Link the contract to a real product price

A usable contract specifies the underlying benchmark, quantity, currency, maturity, observation window and settlement rules. Options also require a strike and premium. Valuation depends on time, volatility, financing and sometimes storage or convenience yield, not simply the current spot price. A forward price is not a guaranteed future spot forecast.

Structure	Commercial purpose	Principal limitation
Commodity future or swap	Fix or offset a defined input/output reference price.	Basis, volume and maturity mismatch; margin funding.
Purchased option	Put a ceiling on input cost or floor under revenue.	Premium and residual exposure; writing options adds different risks.
FX forward	Fix the currency conversion of expected cash flows.	Forecast-volume error, credit and rollover risk.
Rate swap	Change fixed/floating interest exposure supporting a project.	Collateral, valuation and termination cost; not a commodity hedge.
Product-cost basket	Approximate several input exposures together.	Correlation can break; weights and data need governance.

Worked example: a foreign aluminium user

Assume an overseas manufacturer buys 1,000 tonnes at a benchmark plus a fixed $100/t physical premium. It pays fixed $2,500/t and receives the benchmark under a matched cash-settled swap arranged by a UK-resident provider. These prices and quantities are illustrative.

At settlement	Benchmark $2,800/t	Benchmark $2,200/t
Physical purchase, including premium	$2.90m	$2.30m
Swap cash flow to buyer	+$0.30m receipt	-$0.30m payment
Net physical + hedge cost	$2.60m	$2.60m

The financial hedge is separate from metal delivery. The fixed premium, credit, FX and funding costs remain; a variable local premium introduces basis risk. An assumed $8,000 UK arrangement fee is potential service income, not $2.5m of exports or the $300,000 swap payoff. LME materials illustrate how physical pricing and offsetting financial exposure can be aligned. [6]

4 / Where product-linked scale is credible

Priority	Proposed offering	Customer need and launch gate
Near-term: metals	Benchmark-linked hedging, averaging and FX overlay.	Overseas manufacturers and merchants. Require benchmark correlation, clear delivery premiums and clearing access.
Near-term: energy	Oil, gas and power-risk execution and analytics.	Utilities and energy-intensive firms. Geography and load profile matter; an oil hedge is not a perfect power hedge.
Selective: agriculture	Grain/input hedges and procurement planning.	Food processors and large farming/co-operative groups. Control grade, crop, location and seasonal-volume basis.
Selective: freight and shipping	Freight-price derivatives and fuel-risk services.	Commodity logistics and ship operators. Route and vessel mismatch can dominate.
Develop with evidence	Hydrogen, recycled materials and emerging cost baskets.	Pilot only with credible transactions, independent price assessment, committed users and risk capacity.
Avoid as a volume target	Thin-market finished-product derivatives.	Bespoke goods differ in quality and delivery terms. A price series without hedgers and liquidity is not a viable market.

Brent and LME infrastructure demonstrate established ways to connect contracts to commercial price references, not proof that every industrial product can sustain its own exchange. ICE Brent futures specify EFP-based delivery with a cash-settlement option; settlement design must be checked product by product. [6,7]

A launch test for each proposed contract

Require repeat physical demand, measurable exposure, a robust reference price, commercially adequate hedge effectiveness, willing opposite-side risk capacity and executable legal documentation. A dealer or market-maker must be able to warehouse or offset the risk at a price the customer accepts.

The underlying need not be manufactured in Britain. British earnings can come from exporting the supporting expertise, infrastructure and software around internationally traded products.

5 / Markets and routes to customers

The following is a proposed prospecting framework, not a verified ranking of addressable revenue. Geography is conditional on local permissions, customer classification, sanctions, tax and enforceable contracts. British authorisation alone is not a worldwide distribution licence.

Customer corridor	Commercial proposition	Required route to market
Europe	Commodity, FX and treasury services for established corporate supply chains.	Local-law distribution checks; clearing recognition and EU active-account requirements may affect chosen structures.
North America	Specialist execution, benchmark analytics and services complementing deep local markets.	Permission and customer-type review; local registration or appropriately authorised partners where needed.
Gulf commercial centres	Energy, shipping and industrial procurement risk management.	Qualified professional clients, documented access and funded collateral arrangements.
Asia-Pacific	Metals, manufacturing inputs and multi-currency procurement.	Local partners and service hours; exchange controls and onshore/offshore market segmentation reviewed.
Selected emerging markets	Treasury training, analytics and simple exposure-matched hedges.	Proceed only where convertibility, credit, documentation and economics support the customer.

Sales model: sell the outcome, explain the trade-off

Offer a procurement-cost dashboard, a documented exposure policy and access to a small menu of suitable instruments. Show unhedged and hedged cash flows, fees, collateral stress and early-termination costs. A customer who needs an affordable cost ceiling may prefer a purchased option to a margin-intensive linear hedge.

International corporates are not automatically sophisticated in every product. Client classification, appropriateness or suitability obligations and marketing restrictions must be assessed for the relevant service and jurisdiction. Avoid using retail leveraged distribution as the route to mass adoption.

Build a genuinely incremental pipeline

Separate new-to-UK clients, additional services to existing foreign clients and displaced business from other UK providers. Only net new external revenue supports an incremental national export claim. Local partner fees paid abroad are import leakage, not domestic value retained.

6 / Industrialise the service, not the notional

Service layer	How scale is achieved	Constraint that remains
Exposure intake	Standard data templates and supplier/ERP integration.	Client forecasts and physical specifications can be wrong.
Pricing and execution	Benchmark licences, competitive quotes and reusable workflows.	Liquidity, data rights and market impact.
Documentation	Templates with approved jurisdiction and product variants.	Close-out, netting and collateral enforceability need legal review.
Clearing / collateral	Operational automation, reconciliation and stress reporting.	Clearing access, initial margin, cash calls and concentration.
Lifecycle operations	Valuation, confirmations, reporting and exception handling.	Disputes and complex events still need experienced staff.
Customer service	Sector expertise and risk dashboards available internationally.	Language, support hours and customer understanding.

Automation can reduce marginal servicing cost, while compliance, cyber resilience, data licences and risk expertise remain substantial fixed or step costs. Revenue per client can fall as competition intensifies. Larger transaction volume is beneficial only when the contribution from each additional customer exceeds acquisition and servicing cost.

Governance is an export asset

The proposed delivery system combines regulated dealers or brokers, venues and clearing members, independent benchmark governance, specialist technology and audit. It does not assume a new public institution should become the principal risk-taker for every exporter.

UK EMIR covers reporting, applicable central clearing and bilateral risk mitigation; FCA reporting materials document changes effective during 2026. Benchmark administration and use also have regulatory requirements. These obligations belong in the product and cost design from inception. [8,9]

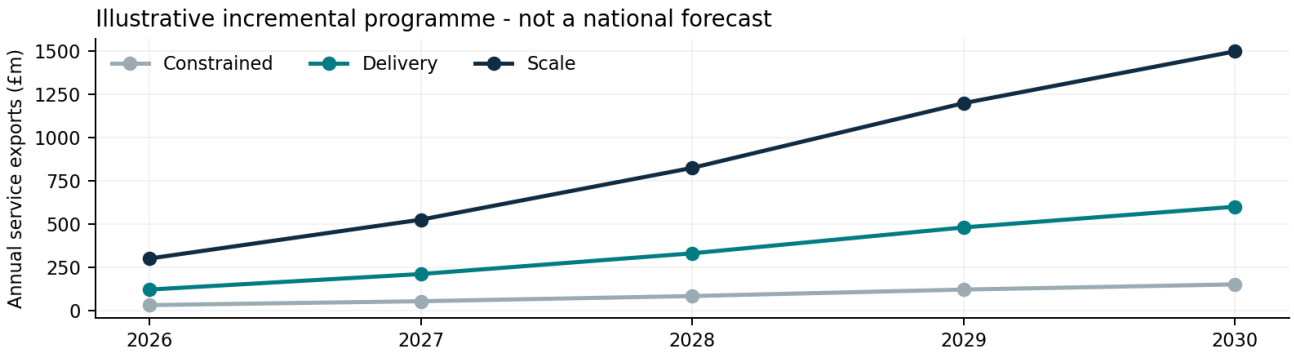
Data, pricing and operational software can be independently exportable. Their receipts may fall outside financial-services classifications, so report the wider ecosystem total alongside, not as if identical to, financial-services exports.

7 / Bottom-up 2030 export scenarios

There is no reliable evidence here for multiplying global notional by an assumed UK fee rate. Instead, the following framework prices a new, non-overlapping cohort of foreign corporate and institutional customers, plus distinct infrastructure/data services. Values are annual receipts in constant 2026 pounds.

2030 driver	Constrained	Delivery	Scale
Active foreign corporate clients	2,000	8,000	15,000
Annual service receipts per corporate	£20,000	£25,000	£30,000
Corporate service exports	£40m	£200m	£450m
Foreign institutional clients	60	200	350
Annual receipts per institution	£1.00m	£1.00m	£1.50m
Institutional service exports	£60m	£200m	£525m
Distinct infrastructure/data services	£50m	£200m	£525m
Total gross service exports	**£150m**	**£600m**	**£1,500m**

Every driver is an assumption, not a demonstrated customer commitment. The corporate and institutional categories exclude each other. The final line must exclude fees already embedded in earlier categories; it includes only separate charges to non-residents. Some receipts may be software/data services rather than financial services.



Common ramp assumption: 20%, 35%, 55%, 80% and 100% of the 2030 annual run-rate in 2026-2030. The 2026 point is an illustrative starting cohort, not observed 2026 exports. For a programme starting after publication, shift the ramp and funding timeline rather than treating elapsed months as delivered.

8 / Costs, margins and financing the ramp

This operating illustration applies to a consortium of service businesses, not a bank taking an unbounded principal derivatives book. It excludes derivative trading gains and losses from ordinary service revenue. Risk-warehousing businesses need a separate capital, credit-loss and stress model.

2030 annual P&L; (£m)	Constrained	Delivery	Scale
Gross export-service revenue	150	600	1,500
Variable service costs	52.5 (35%)	150 (25%)	375 (25%)
Committed operating costs	130	330	750
Operating profit / loss	**-32.5**	**120**	**375**
Margin on revenue	-21.7%	20.0%	25.0%

Costs include assumed staffing, technology, compliance, data and outsourced service expense. UK-resident pass-through fees are eliminated where duplicated inside the programme. These aggregate percentages require supplier budgets and an activity-based cost model; they are not sector margin benchmarks.

Delivery case (£m)	2026	2027	2028	2029	2030
Revenue	120	210	330	480	600
Variable costs (25%)	30	52.5	82.5	120	150
Committed costs	230	270	300	320	330
Operating result	-140	-112.5	-52.5	40	120

This ramp has a peak cumulative operating deficit of £305m at end-2028 and a remaining £145m cumulative deficit at end-2030. Required financing can be larger because capital expenditure, working capital, taxes and any margin or regulatory capital are additional. Profitability in the final year is not investment payback.

Sensitivity: the delivery case is commercially demanding

At a 75% contribution margin, £330m committed cost requires £440m revenue to break even. A 20% revenue shortfall leaves £30m profit (6.25% margin); a 30% shortfall produces a £15m loss. If the variable-cost ratio rises to 35%, base profit falls to £60m (10% margin). An extra £100m committed cost reduces base profit to £20m.

Exports are not GVA. As a purely illustrative bridge, £600m less £120m imported intermediate services and £90m domestic intermediate purchases yields £390m direct GVA before product-tax adjustments. Wages and operating surplus are components of GVA, not deductions from it. No employment or GDP multiplier is assumed.

9 / Risks that determine achievable scale

Risk	Commercial consequence	Required control
Basis and forecast error	Hedge fails to offset grade, location, currency, timing or volume.	Measure residual exposure; hedge policy and forecast revisions.
Liquidity and collateral	Cash demanded before physical cash flows arrive.	Stress cash calls, committed funding and concentration limits.
Counterparty / clearing	Default or clearing-member failure disrupts the hedge.	Credit limits, enforceable collateral and recovery planning.
Benchmark integrity	A thin, manipulated or discontinued price weakens contracts.	Independent governance, licensing, fallbacks and data quality.
Market access	Local permissions or clearing changes reduce reachable customers.	Jurisdiction-specific review and alternative delivery routes.
Operational / cyber	Failed pricing, reporting or settlement harms customers.	Reconciliations, resilient suppliers and controlled changes.
Conduct and distribution	Complex or oversized trades create losses and disputes.	Clear disclosures, exposure matching and customer controls.
Crowding and competition	Scale compresses fees or concentrates risk.	Contribution reporting and limits on loss-making volume.

Clearing redistributes and manages counterparty risk; it does not abolish it. A sound hedge can still trigger liquidity stress. The Bank of England’s energy-market material illustrates why collateral funding must be treated separately from ultimate economic hedge performance. [10]

The 2028 access checkpoint

EU equivalence for UK CCPs runs to 30 June 2028 under the cited Commission decision. ESMA recognition decisions also have that horizon. This is not a blanket permission for every UK firm to sell every derivative in the EU. The report assumes no automatic extension after that date. [11,12]

Illustrative access stress: if 30% of delivery-case revenue depends on an affected channel and half is lost, revenue falls £90m. With unchanged committed cost and 25% variable cost, operating profit falls from £120m to £52.5m. This is an assumption-based stress, not a predicted regulatory outcome.

10 / A 2026-2030 policy and delivery agenda

Period	Business action	Public-policy priority
2026: establish baseline	Survey resident-to-non-resident fees; map pipeline and exposure needs.	Agree a transparent export measurement protocol and regulatory engagement.
2027: build repeatability	Pilot a small set of liquid product/FX services with funded counterparties.	Support skills, international dialogue and proportionate digital reporting.
2028: prove resilience	Demonstrate recurring revenue, hedge effectiveness and stress liquidity.	Resolve or plan around CCP-recognition uncertainties; retain high standards.
2029: scale selectively	Expand only where client retention and contribution justify acquisition.	Address documented access barriers without underwriting speculative losses.
2030: evaluate results	Publish audited service-export outcomes and return-on-investment evidence.	Review additionality, competition and systemic concentration before further support.

Six practical recommendations

1. Adopt an earnings-based export dashboard. Separate financial services, software/data, financial flows and underlying goods.

2. Preserve trustworthy benchmark infrastructure. Invest in data quality and fallbacks before promoting new contracts.

3. Build exposure literacy. Train procurement and treasury teams together; support professionally governed access rather than volume-driven retail selling.

4. Reduce operational friction. Standardise interfaces and reusable documentation while preserving client and jurisdiction checks.

5. Plan for international fragmentation. Diversify customer routes and review clearing arrangements ahead of the 2028 horizon.

6. Make capital allocation conditional. Fund measurable milestones; do not subsidise unlimited issuance or guarantee private market losses.

Regional opportunity: technology, operations, analytics, legal support and customer services can be delivered beyond London, including Leeds, Manchester and Edinburgh. These are proposed development locations, not quantified job forecasts.

11 / Investment gates and measurement

Gate	Evidence required before scaling
Customer demand	Signed or independently validated pipeline; exposure size, alternatives and willingness to pay.
Economics	Net fee per client, acquisition cost, recurring retention, variable service cost and break-even run-rate.
Product quality	Reference-price reliability, residual basis risk, dispute rate and customer outcome monitoring.
Risk capacity	Funded collateral plan, default exposure, market liquidity and credible stress performance.
Export additionality	Non-resident customer and UK supplier evidence; remove UK-to-UK transfers and displaced domestic-provider revenue.
Scalability	Automation that reduces unit cost without increasing reporting errors or unresolved exceptions.

Board dashboard

Report quarterly: external receipts by residency and service type; repeat clients; retained revenue; contribution and operating margin; imported-service leakage; peak liquidity requirement; concentration; complaints; settlement and reporting failures. Report notional separately as an exposure/activity metric, never as the revenue headline.

What must be commissioned next

A confidential resident-firm revenue survey, 30-50 structured interviews with qualified foreign corporate customers, at least three jurisdiction-specific access studies, independently costed technology and operating plans, and a product-level stress study. These are proposed research tasks, not work already completed.

Methodology and interpretation

The report combines primary-source market evidence with author-designed commercial scenarios. No econometric demand estimation, proprietary client data, legal opinion or live dealer quotation was obtained. Scenario values are constant 2026 GBP with no FX conversion of BIS turnover into projected earnings. The reported source dates and observation periods are retained rather than implying that 2025 data describe the whole of 2026.

The strongest export proposition is not to promise permanently cheaper commodities. It is to sell dependable price-risk management and the infrastructure that makes international commerce easier to plan.

Sources and evidence register

Sources checked 6 November 2026. Numbered references distinguish observed facts from the assumptions and proposals in the report. All scenario revenues, costs, customer counts and margins are original illustrative calculations.

[1] Bank of England, 30 September 2025. UK BIS triennial survey release; April 2025 turnover, location and methodology. Source

[2] BIS, December 2025. OTC derivatives statistics at end-June 2025; notional and market-value stocks. Source

[3] ONS, Pink Book 2026. 2025 services exports, latest cited publication vintage. Source

[4] IMF, BPM6 Compilation Guide, chapter 12, paragraphs 12.102-12.108. Fees and dealing margins. Source

[5] IMF, BPM6, chapter 8, paragraphs 8.34-8.35. Financial-derivative transactions. Source

[6] London Metal Exchange. Physical and financial hedging beginners guide; exposure matching and basis risk. Source

[7] ICE Futures Europe. Brent Crude Futures contract specifications; settlement and daily marking to market. Source

[8] FCA. UK EMIR overview and reporting obligation materials, including 2026 reporting changes. Source

[9] FCA. UK Benchmarks Regulation; benchmark definition, governance and fallbacks. Source

[10] Bank of England. Energy Markets Financing Scheme; collateral funding associated with hedging. Historical mechanism, not a claim that new lending is available. Source

[11] European Commission, 31 January 2025. UK CCP equivalence extension until 30 June 2028. Source

[12] ESMA, 17 March 2025. Recognition of three UK CCPs extended to June 2028; December 2025 review also maintained recognition for LCH and LME Clear. Source

National-account classifications should be confirmed with the relevant statistical guidance in use when reporting. Regulatory implementation and market-access conditions can change; the access analysis is a high-level business screen, not a product approval.